



PAPER – 1: ACCOUNTING



QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:
 - (a) The concept of conservatism when applied to the balance sheet results in understatement of assets.
 - (b) M/s Raj Yog & Co. runs a cafe. They renovated some of the old cabins. Because of this renovation some space was made free and number of cabins was increased from 25 to 28. The total expenditure incurred was ₹ 50,000 and was treated as a revenue expenditure.
 - (c) Bank reconciliation statement is prepared to arrive at the bank balance.
 - (d) The provision for bad debts is debited to sundry debtors account.
 - (e) Depreciation is a non-cash expense and does not result in any cash outflow.
 - (f) Discount at the time of retirement of a bill is a gain for the drawee.
 - (g) The provision for discount on creditors is often not provided in keeping with the principle of conservatism.
 - (h) The firm will receive surrender value of the joint life policy on the death of the partner.

- (i) Where a Non-Profit organization separate trading activity, the profit/loss from the trading account shall be transferred to Income Expenditure Account at the time of consolidation.
- (j) A fixed charge generally covers all the assets of the company including future one.

Theoretical Framework

- 2. (a) Discuss the limitations which must be kept in mind while evaluating the Financial Statements.
- (b) Distinguish between Going concern and cost concept.

Journal Entries

- 3. (a) You are required to pass necessary journal entries in the books of Mahesh:
 - (i) Cheque amounting ₹ 24,000 from Shankar in full settlement of his account for ₹ 25,000.
 - (ii) Withdrawn for personal use: Goods (Sales Price ₹ 9,000, Cost ₹ 6,000), cash ₹ 3,000
 - (iii) Goods costing ₹ 3,000 (Sale price ₹4,000) distributed as free samples.
 - (iv) Received commission ₹ 15,000, half of which does not relate of current year and is received in advance.
 - (v) Income tax liability of proprietor ₹ 18,500 was paid out of petty cash.
 - (vi) Purchase of goods from Sunny of the list price of ₹ 15,000. He allowed 10% trade discount, ₹ 200 cash discount was also allowed for quick payment.

Capital or Revenue Expenditure

- (b) Classify each of the following transactions into capital or revenue transactions:
 - Legal fees on the acquisition of land.
 - Complete repaint of existing building.

- Repainting of a delivery van.
- Providing drainage for a new piece of water-extraction equipment.
- Carriage costs on a replacement part for a piece of machinery.

Subsidiary Books

4. (a) Prepare Sales Book of M/s. Kabir of Almora for January 2025:
- Jan. 5 Sold to M/s ABC 10 pieces of Chairs @ 5,000/- each less Trade Discount 5%.
- Jan. 12 Sold to M/s PQR 25 pieces of Tables @ 2,000/- each less Trade Discount 10%.
- Jan. 18 Sold to M/s MTB 5 pieces of Recliner Chairs @ 11,000/- each less Trade Discount 10%. Payment received through cheque.
- Jan. 28 Sold to M/s LMN 50 pieces of cupboards @ 10,000/ each less Trade Discount 20%.

Rectification of Errors

- (b) Mr. Lalit was unable to agree the Trial Balance last year and wrote off the difference to the profit and loss account of that year. On verifying the old books by a Chartered Accountant next year, the following mistakes were found.
- (i) Purchase account was undercast by ₹ 16,000.
 - (ii) Sale of goods to Ms. Rashmi for ₹ 5,000 was omitted to be recorded.
 - (iii) Receipt of cash from Mr. Ashok was posted to the account of Mr. Anubhav ₹ 1,200.
 - (iv) Amount of ₹ 4,167 of sales was wrongly posted as ₹ 4,617.
 - (v) Repairs to Machinery was debited to Machinery Account ₹ 6,100.

- (vi) A credit purchase of goods from Mr. David for ₹ 3,000 entered as sale.

Suggest the necessary rectification entries.

Bank Reconciliation Statement

5. According to the cash-book of Arun there was balance of ₹ 8,90,000 in his bank on 30th June, 2025. On investigation you find that :
- (i) Cheques amounting to 1,20,000 issued to creditors have not been presented for payment till the date
 - (ii) Cheques paid into bank amounting to 2,21,000 out of which cheques amounting to ₹ 1,10,000 only collected by bank up to 30th June 2025
 - (iii) A dividend of ₹ 8,000 and rent amounting to 1,20,000 received by the bank and entered in the pass-book but not recorded in the cash book.
 - (iv) Insurance premium (up to 31st December, 2024) paid by the bank ₹ 5,400 not entered in the cash book.
 - (v) The payment side of the cash book had been under cast by ₹ 1,000
 - (vi) Bank charges ₹ 300 shown in the pass book had not been entered in the cash book.
 - (vii) A bill payable of ₹ 40,000 had been paid by the bank but was not entered in the cash book and bill receivable for ₹ 12,000 had been discounted with the bank at a cost of ₹ 200 which had also not been recorded in cash book.

You are required:

- (1) To make the appropriate adjustments in the cash book, and
- (2) To prepare a statement reconciling it with the bank pass book.

Valuation of Inventories

6. Puneet closed his books of account on 31st March, each year. Inventory taking for the year ended 31st March, 2025 was completed by

10th April, 2025 on which date value of the stock available in godown was of ₹ 4,50,000 at cost.

Following are the details of transactions that took place between 31st March, 2025 and 10th April, 2025:

- (i) Goods sold to customers ₹1,10,000.
- (ii) Sales return ₹ 10,000.
- (iii) Purchases ₹ 85,000 (Including Cash Purchases ₹ 10,000).
- (iv) Purchases return amounted to ₹ 2,500.
- (v) Goods costing 20,000 received in March, for sale on consignment basis, out of which 60% of goods had been sold by 10th April. These sales are not included in above sales.
- (vi) After the stock was taken, it was found that there was certain very old slow- moving items costing ₹ 16,000, which should be taken at ₹ 9,500 to ensure disposal to an interested customer.

Goods are sold at a profit margin of 25% on cost. Ascertain the value of inventory for inclusion in the final accounts for the year ended 31st March, 2025.

Depreciation and Amortisation

7. M/s. Alankrit Transport Company purchased 10 Buses @ ₹ 50,00,000 each on 1st October, 2021. On 1st January, 2024, one of the Buses is involved in an accident and is completely destroyed and ₹ 35,00,000 is received from the insurance in full settlement. On the same date, another bus is purchased by the company for the sum of ₹ 60,00,000. The company writes off 20% of the original cost per annum.

Give the Bus Account for the years ending 31st March, 2024 and 31st March, 2025.

Bills of Exchange

8. On October, 2025, X sells goods to Y for 25,000 plus IGST @ 18% and draws two bills of exchange on him; the first bill for 15,000 for 2 months and second bill for the balance for 3 months. Y accepts and returns these bills to X. Both the bills are sent to the bank for collection on

1st October, 2025. In due course, X receives the information from the bank on the due date of the respective bill that the bill for 15,000 has been duly met and the other bill has been dishonored. Noting charges paid on the dishonor of second bill are 500. Pass the journal entries in the books of X. (Ignore date Column)

Final accounts

9. The following are the balances extracted from the books of Shri Mohan Gupta as on 31.03.2025, who carries on business under the name and style of M/s Gupta & Associates at Jaipur:

Particulars	Debit (₹)	Credit (₹)
Capital A/c		14,11,400
Purchases	12,00,000	
Purchase Returns		18,000
Sales		15,00,000
Sales Returns	24,000	
Freight Inwards	62,000	
Carriage Outwards	8,500	
Rent of Godown	55,000	
Rates and Taxes	24,000	
Salaries	72,000	
Discount allowed	7,500	
Discount received		12,000
Drawings	20,000	
Printing and Stationery	6,000	
Insurance premium	48,000	
Electricity charges	14,000	
General expenses	11,000	
Bank charges	3,800	
Bad debts	12,200	

Repairs the Motor vehicle	13,000	
Interest on loan	4,400	
Provision for Bad-debts		10,000
Loan from Mr. Rajan		60,000
Sundry creditors		62,000
Motor vehicles	1,00,000	
Land and Buildings	5,00,000	
Office equipment	2,00,000	
Furniture and Fixtures	50,000	
Stock as on 31.03.2024	3,20,000	
Sundry debtors	2,80,000	
Cash at Bank	22,000	
Cash in Hand	<u>16,000</u>	
Total	<u>30,73,400</u>	<u>30,73,400</u>

Prepare Trading and Profit and Loss Account for the year ended 31.03.2025 and the Balance Sheet as at that date after making provision for the following:

- Depreciate Building by 5%, Furniture and Fixtures by 10%, Office Equipment by 15% and Motor Car by 20%.
- Value of stock at the close of the year was ₹ 4,10,000.
- One month rent for godown is outstanding.
- Interest on loan from Rajan is payable @ 10% per annum. This loan was taken on 01.07.2024
- Reserve for bad debts is to be maintained at 5% of Sundry debtors.
- Insurance premium includes ₹ 42,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 01.04.2024 to 30.06.2025.

Financial Statements of Not for Profit Organizations

10. The following is the Receipts and Payments Account of a Sports Club for the year ended 31st December, 2025.

Receipts	₹	Payments	₹
To Balance b/d	7,500	By Salaries	14,000
To Subscriptions (including ₹ 2,000 for the year 2024)	40,000	By Match Expenses	28,000
To Donations	15,000	By Sports Materials	15,000
To Life Membership Fees	35,000	By Printing & Stationery	12,000
To Sale of Furniture at book value	5,000	By Honorarium	5,000
To Entrance Fees	10,000	By Furniture	15,000
To Interest on 10% Investments for the full year	20,000	By Magazines & Journals	10,000
To Match Fund	40,000	By Books	35,000
To Donation for Building Fund	45,000	By Municipal Taxes	6,000
To Sale of Newspapers	2,500	By Balance c/d	80,000
	2,20,000		2,20,000

Additional Information:

- (i) The position of the Club on January 1, 2025 was as follows:

Subscriptions due	₹ 3,000
Furniture	₹ 10,000
Books	₹ 20,000
Building	₹ 1,25,000
Stock of Sports Materials	₹ 4,500
Creditors for Printing	₹ 2,500

- (ii) The Club has 1,000 members each paying an annual subscription of ₹ 50. 20 members paid their subscription in advance in 2024. In the year 2025, subscription was received in advance from 15 members.
- (iii) Municipal Taxes paid on 1st April every year.
- (iv) One member donated a Billiard Table worth ₹ 50,000.
- (v) Books were worth ₹ 46,000 on 31st December, 2025 and stock of sports materials on that date amounted to ₹ 4,000.

Prepare Income and Expenditure Account for the year ended 31st December, 2025 and Balance Sheet as on that date.

Accounts from Incomplete Records

11. Deep Enterprises maintain their books of accounts under single entry system. The Balance-Sheet as on 31st March, 2024 was as follows :

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital A/c	3,37,500	Furniture & fixtures	75,000
Trade creditors	3,78,750	Stock	4,57,500
Outstanding expenses	33,750	Trade debtors	1,56,000
		Prepaid insurance	1,500
		Cash in hand & at bank	60,000
	7,50,000		7,50,000

The following was the summary of cash and bank book for the year ended 31st March, 2025:

Receipts	Amount (₹)	Payments	Amount (₹)
Cash in hand & at Bank on 1 st April, 2024	60,000	Payment to trade creditors	62,41,500

Cash sales	55,35,000	Sundry expenses paid	4,65,525
Receipts from trade debtors	13,87,500	Drawings	1,80,000
		Cash in hand & at Bank on 31 st March, 2025	<u>95,475</u>
	<u>69,82,500</u>		69,82,500

Additional Information:

- (i) Discount allowed to trade debtors and received from trade creditors amounted to ₹ 27,000 and ₹ 21,250 respectively (for the year ended 31st March, 2025).
- (ii) Annual fire insurance premium of ₹ 4,500 was paid every year on 1st August for the renewal of the policy.
- (iii) Furniture & fixtures were subject to depreciation @ 15% p.a. on diminishing balance method.
- (iv) The following are the balances as on 31st March, 2025:

Stock	₹ 4,87,500
Trade debtors	₹ 1,71,500
Outstanding expenses	₹ 27,600
- (v) Gross profit is to be maintained at 10% on total sales.

You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2025, and Balance Sheet as on that date.

Partnership Accounts
Calculation of Goodwill

12. Sita, Gita and Rita are in partnership sharing profit and losses at the ratio of 2:5:3. The Balance Sheet of the partnership as on 31.03.2025 was as follows:

Balance Sheet of M/s Sita, Gita and Rita as at 31st March, 2025

Liabilities	₹	Assets	₹
Capital A/cs		Sundry fixed assets	15,00,000
Sita	2,55,000	Inventory	3,00,000
Gita	9,45,000	Trade receivables	1,50,000
Rita	6,75,000	Bank	15,000
Trade payables	<u>90,000</u>		
	19,65,000		<u>19,65,000</u>

The partnership earned profit ₹ 6,00,000 during 2024-25 and the partners withdrew ₹ 4,50,000 during the year. Normal rate of return 30%.

You are required to calculate the value of goodwill on the basis of 5 years' purchase of super profit. For this purpose, calculate super profit using average capital employed.

Dissolution of Partnership Firm

13. A, B and C are partners sharing profits and losses in the ratio of 2:2:1 respectively. The Balance Sheet of the firm as at 31st March, 2025 is as follows:

Liabilities	₹	Assets	₹
Capital Accounts:		Fixed Assets	2,00,000
A	1,46,000	Current Assets:	
B	54,000	Stock	1,25,000
C	<u>50,000</u>	Debtors	1,25,000
	2,50,000	Cash	5,000
C's Loan Account	25,000	Advance to B	20,000
Mrs. A's Loan A/c	50,000		
Sundry Creditors	1,25,000		
Provision for Bad Debts	25,000		
	<u>4,75,000</u>		<u>4,75,000</u>

The firm was dissolved on 31st March, 2025. After preparing the Balance Sheet as on 31st March, 2025; it was discovered that purchases amounting to ₹ 20,000 in March, 2025 were not recorded in the books, though the goods were received during March, 2025.

Fixed Assets realised ₹ 1,00,000, Stock ₹ 1,05,000 and Debtors ₹ 1,02,500. Creditors were paid after deduction of discount @2%, The realisation expenses amounted ₹ 5,400. A agreed to take over the loan of Mrs. A. B is insolvent and his estate is unable to contribute anything. Prepare Realisation A/c, Partners Capital A/c and Cash A/c applying the principles of Garner v. Murray.

Issue and Redemption of Shares

14. Greenrock Limited is a company with an authorized share capital of ₹ 4,00,00,000 in equity shares of ₹ 10 each, of which 30,00,000 shares had been issued and fully paid on 30th June, 2024. The company proposed to make a further issue of 2,60,000 shares of ₹ 10 each at a price of ₹ 12 each, the arrangements for payment being:

- (i) ₹ 2 per share payable on application, to be received by 1st July, 2024;
- (ii) Allotment to be made on 10th July, 2024 and a further ₹ 5 per share (including the premium) to be payable;
- (iii) The final call for the balance to be made, and the money received by 31th March, 2025.

Applications were received for 8,40,000 shares and were dealt with as follows:

- (1) Applicants for 40,000 shares received allotment in full;
- (2) Applicants for 2,00,000 shares received an allotment of one share for every two applied for; no money was returned to these applicants, the surplus on application being used to reduce the amount due on allotment;

- (3) Applicants for 6,00,000 shares received an allotment of one share for every five shares applied for; the money due on allotment was retained by the company, the excess being returned to the applicants; and
- (4) The money due on final call was received on the due date.

You are required to record these transactions (including cash items) in the journal of Greenrock limited.

15. Give necessary journal entries for the forfeiture and re-issue of shares:
 - (i) Windy Whale Ltd. forfeited 900 shares of ₹ 10 each fully called up, held by Varun for non-payment of allotment money of ₹ 3 per share and final call of ₹ 4 per share. He paid the application money of ₹ 3 per share. These shares were re-issued to Nitesh for ₹ 8 per share.
 - (ii) A Ltd. forfeited 200 shares of ₹ 10 each (₹ 7 called up) on which Kamal had paid application and allotment money of ₹ 5 per share. Out of these, 150 shares were re-issued to Tamal as fully paid up for ₹ 6 per share.

Issue and Redemption of Debentures

16. A company had issued 80,000, 12% debentures of ₹ 100 each on 1st April, 2021. The debentures were due for redemption on 1st March, 2025. The terms of issue of debentures provided that they were redeemable at a premium of 5%. The company offered an option to the debenture holders to convert redeemable value of 20% of their holding into equity shares (nominal value ₹ 10) at a predetermined price of ₹ 15 per share and the payment in cash for remaining debentures. 100 debentures holders holding totally 10,000 debentures did not exercise the option. Calculate the number of equity shares to be allotted to the debenture holders and the amount to be paid in cash on redemption.

Redemption of Preference Shares

17. The following balances appeared in the Books of Silver Stone Ltd. as on 31st December, 2024:

	Amount (₹)
1,600,000, 10% Preference shares of ₹ 100 each, ₹ 75 paid up	1,20,00,000
4,00,000 Equity share of ₹ 100 each fully paid up	4,00,00,000
Securities Premium	13,00,000
Capital Redemption Reserve	84,00,000
General Reserve	1,70,00,000

Under the terms of their issue, the preference shares are redeemable on 31st March, 2025 at a premium of 5%. In order to finance the redemption, the company makes a right issue of 1,20,000 equity shares of ₹ 100 each at a premium of 10%, ₹ 25 being payable on application, ₹ 45 (including premium) on allotment and the balance on 1st August, 2025. The issue was fully subscribed and the allotment made on 1st March, 2025. The amount due on allotment was duly received by 25th March, 2025.

The preference shares were redeemed after fulfilling the necessary conditions of section 55 of the Companies Act, 2023.

You are required to pass the necessary Journal Entries (including narrations) to give effect to the above arrangement. Also prepare the Notes to accounts on Share Capital Reserves and Surplus relevant to the Balance Sheet immediately after the redemption of preference shares as on 31st March, 2025. Ignore date column in Journal.

18. Write short notes on the following:
- Rules of posting of journal entries into Ledger.
 - Importance of bank reconciliation statement to an industrial unit.
 - Periodic Inventory System Vs Perpetual Inventory System
 - Trade bill vs. Accommodation bill.
 - Contingent Asset and Contingent Liability